

ELI PEARSON

The next fifteen years

From where you are now to owning the thing

You are eighteen, you work harder than most men twice your age, and you already earn the Baton Rouge average for this job. That is a real head start and I am not going to pretend otherwise.

This is not a lecture. It is a map: what every step actually pays, what it costs to get there, and roughly when to take it. Every number in here comes from somewhere real and I have put the sources at the back so you can check me.

Change any of it you like. That is the whole point of having it written down.

Where you are right now

\$20.48

the Baton Rouge average hourly wage for a construction laborer. You are already there, at 18.

8.2%

of all jobs in Baton Rouge are construction - double the national rate. You picked the right town for this without trying.

87%

of contractors have jobs they cannot fill. The people doing this work are retiring and there is nobody behind them.

Those three numbers together are the reason this plan works. There is a shortage of people who will do this work well, in a city that has twice as much of it as anywhere else, and you are already good at it and already paid the going rate.

What you have that cannot be taught

- You show up. Most of this trade is won by the people who reliably turn up and do what they said they would.
- You work hard without being watched. That is rarer than you think and every foreman notices it.
- You want to own something. That instinct is the difference between a career and a job, and most people

Nobody is going to hand you the next step. In this trade you ask for it, out loud, and then you are ready when they say yes.

What you will have to go and get

- Seat time on machines. Ask for it constantly until somebody gets sick of you asking.
- The number side. Not school maths - job maths. What a job should cost and what it did cost.
- Paper: a GED, a couple of cards, eventually a licence. None of it is hard. All of it is worth money.

The ladder

Age	What you are	Per hour	A year	Take home	What you pick up that year
18	Laborer	\$20.00	\$41,600	\$34,733	GED. OSHA 10. Trenching competent-person card. FAA Part 107 drone licence.
19	Laborer / operator trainee	\$23.00	\$47,840	\$39,559	CDL Class A at BRCC - 6 weeks, \$5,640.
20	Equipment operator	\$26.00	\$54,080	\$44,386	OSHA 30. Open the LLC and the business bank account.
21	Equipment operator	\$28.30	\$58,864	\$48,086	M.J. Foster Promise money becomes available at 21.
23	Senior operator / lead hand	\$32.00	\$66,560	\$54,033	LDAF licences if the work calls for them.
26	Foreman	\$38.51	\$80,101	\$63,153	First machine, if the numbers work. Used mini-ex, 2-3.5 tonne.
27	Foreman	\$40.00	\$83,200	\$65,240	
28	Superintendent	\$44.00	\$91,520	\$70,844	Second machine or a partner's stake.
30	Operations lead / partner	\$50.00	\$104,000	\$79,249	Either a real stake here, or your own company.
32	Owner	\$58.00	\$120,640	\$90,456	Consider adding LSLBC Class 62 - docks, piers, bulkheads. The water work.

Every figure on this page is in today's money, so you can compare it to what you earn right now. Rates are Baton Rouge averages for each role. The spreadsheet also grows them 3.5% a year for wage inflation, which is what construction wages have actually done - on that basis the same ladder is paying about \$93 an hour by the time you are 32. Take-home is after federal tax, Social Security, Medicare and Louisiana's 3% flat rate.

The two green rows are the most important years of your working life. Laborer to equipment operator is a 38% raise and it costs you nothing but asking.

The single biggest raise you will ever get

+38%

going from laborer to equipment operator -
\$20.48 to \$28.30 an hour on Baton Rouge
averages

+\$16,250

a year, for the same hours, in the same
weather, on the same jobs

\$0

what it costs in tuition. It costs seat time and
asking, nothing else.

Every other step on the ladder is slower and harder than this one. Nothing later gives you that much more money for that little effort. Get in the seat as early as anybody will let you, and then never get out of it until you are running the crew.

What	Cost	How long	Why it is worth it
CDL Class A	\$5,640	6 weeks	The highest-return thing on this list. Not so you can drive a truck - so the company does not pay a hauler \$400-800 every time a machine has to move. It makes you the man who cannot be sent home.
Trenching competent person	\$49-200	a few hours	OSHA requires a designated competent person on every trench over five feet, with authority to pull men out. At 19 this makes you structurally necessary instead of replaceable.
OSHA 10, then OSHA 30	\$60, then \$180	10 and 30 hrs	Gates, not raises. You need them to get on commercial jobs and to be a foreman.
FAA Part 107 (drone)	~\$175	study + exam	You can sit it at 16. Drone survey turns into a real deliverable for a drainage job - existing grade, where the water goes, before and after. Most small outfits round here cannot produce that.

Skip the manufacturer equipment 'certifications'. In Louisiana private work nobody pays more for them - hours in the seat are what count.

What to do with the money

\$130,263

what you would have saved and ready by 27 if you follow this - enough to start your own

\$1.15M

what \$7,500 a year from 18 to 30 becomes by 60, tax free, if you never add another dollar after 30

\$7,000

the emergency fund. Ten wet weeks with no work. Build this before anything else.

The order

- **1. Emergency fund first.** About \$7,000. Drainage work stops when the weather says so, and a man with no cushion takes the first bad job he is offered.
- **2. Any match your boss offers.** Ask if there is a retirement plan. A 50% match is a 50% return before the money does anything at all.
- **3. Then the Roth IRA.** Up to \$7,500 a year. See the box on the right - this one is close to a cheat code at your age.
- **4. Then the business fund.** Everything after that goes toward the machine.

The Roth thing nobody tells you

A Roth IRA is a retirement account. You pay tax on the money now - at your age that is only 12% - and then never pay tax on it again. Not on the growth, not when you take it out at 60.

But here is the part that matters to you: whatever you PUT IN can be taken back out at any time, at any age, with no tax and no penalty. Only the growth is locked away.

Which means your retirement account doubles as the fund you buy your first excavator out of. If you put in \$7,500 a year from 18 to 25, that is \$60,000 you can pull out for the business at 25 - and anything you leave in keeps growing tax free for forty years.

The catch: once you take it out, that year's room is gone forever. So take it out for a machine that makes money, not for a truck that looks good.

The truck is the trap. A \$75,000 new diesel is about \$1,350 a month - half your take-home right now - on something that loses a quarter of its value in year one. A \$25,000 used one does every single job it does.

What you are learning, and why in this order

Roughly one in five construction businesses fails in the first year, and more than half within five. **Almost none of them fail because the owner could not dig.** They fail because he priced the job wrong, did not chase the money, and ran out of cash while he was busy.

When	What you learn	Why then
21	Job costing	What a job SHOULD have cost against what it DID cost - hours, machine time, fuel, materials, dump fees. Start a notebook on jobs you are already working. Everything else on this list is guesswork until you can do this one.
22	Estimating	Price the job in your notebook before the quote goes out, then check yourself against the real number. Do that a hundred times and you will be better than most men who have been doing it thirty years.
23	Running a few men	Scheduling a day so nobody stands around waiting. Harder than it looks.
24	Contracts and change orders	A written scope, a deposit, and a process for when the customer changes his mind. Unpaid change orders are how contractors go broke while staying busy.
25	Customers	Answer the phone. Quote within two days. In residential work that alone beats half your competition and it costs nothing.
26	Equipment economics	What a machine costs per hour to own and run, and when to fix instead of replace. This is the difference between a 20% margin and a 5% one.
27	Books and cash	Separate accounts, quarterly taxes, and never spending the tax money. Boring, and it is the thing that actually kills people.
28+	Bidding whole jobs	And knowing which ones to walk away from. That judgement is worth more than any machine you will ever buy.

You do not need to be good at school to do any of this. It is arithmetic and paying attention. But it does have to be *written down* - the man who keeps the notebook wins, and the man who keeps it in his head does not.

If you go out on your own

	Startup	Licence needed	Margin	Robot risk	Why it ranks here
1. Drainage & earthwork	\$80-250k	LSLBC Class 13	25-40%	Very low	You already know it. That one licence also covers land clearing and erosion control, so it buys you three businesses. There is \$29.4M of watershed money being spent in your own parish right now. Nobody is sending a robot into a trench between a fence and a pool.
2. Docks & bulkheads	\$150k+	Class 62 + federal permits	35-50%	Very low	Best margins on this page and it is the water work you actually want. Bulkheads run \$150-600 a foot. The Army Corps permits are a pain - which is exactly why it is a good business, because they keep everyone else out. Add it around 8-10 years in, not at the start.
3. Land clearing	\$150-250k	None	40-55%	Low	Good money fast, but no licence barrier means it gets crowded. Best as a bolt-on to number one.
9. Lawn maintenance	\$8-15k	NONE	10-20% net	HIGHES T	The worst one, and the one everybody starts with because it is cheap. Anybody with a trailer competes with you forever, and it is the single category robot mowers are actually shipping into today. Do not build your life on it.

Three things about starting that nobody mentions

- **In Louisiana you need no contractor licence at all for jobs under \$7,500.** So your first jobs - small yard drains, culverts, a bit of grading - can be done legally with a rented machine on weekends, while you build a reputation and a bank statement. That is how this actually starts. Not with \$100,000 of iron.
- **Open the company about two years before you want to borrow.** Equipment lenders want two years of business history. If you want to finance a machine at 25, the LLC exists at 23. Almost nobody knows this and it costs them a year.
- **Your credit score is worth thousands.** The same bond costs 0.5-3% if your credit is good and 5-10% if it is not. Get a secured card at 18, buy fuel with it, pay it in full every month. That is the whole trick.

Robots and AI - the honest version

The short answer: machines are coming for big, flat, repetitive ground first. Mowing a hundred acres. Moving a million yards of dirt on a highway job. **They are nowhere near what you do.** Today you cannot buy an autonomous excavator for residential drainage - that product does not exist.

When	What it looks like	How sure can we be
You are 25	Almost nothing changes for a drainage crew in Baton Rouge. Drone survey and GPS grade control are normal. Quoting and scheduling are done with AI. Robot mowers have taken real share of big commercial lawns and none of complicated residential work. Every job on your ladder is projected to <i>grow</i> , with tens of thousands of openings a year as older men retire.	Fairly sure. This is close enough to see.
You are 35	Self-driving earthmoving is probably normal on big open civil sites - it is already starting. Tight residential work with tree roots, gas lines and no map is probably still done by people, with machines helping. By then you should own the machines rather than compete with them.	Directionally. Not precisely.
You are 45	Nobody knows. The hard part of robotics is hands - touch, force, working somewhere nobody mapped first. That problem is not solved and the people working on it have no timeline. It might crack in ten years. It has also been ten years away for forty years.	Anyone who gives you a number here is guessing.

What survives either way

- **Owning it.** About 38% of construction managers work for themselves, median around \$115,000. Automation moves the money to whoever owns the machine and the customer. Be that person.
- **Licences.** Software cannot hold a Louisiana contractor's licence. A person has to. Cheapest protection you can buy.
- **Customers who ask for you by name.** Referrals drive about 59% of the work in this trade.
- **Working out why a yard floods.** That is judgement in a mess, and it is exactly the thing the research keeps saying is unsolved.

What does not

Being the fastest man with a shovel. Grounds maintenance pays a median of \$19.27 an hour - which is roughly what you make now, at 18. **That is the ceiling on hands-only work and it does not move.** The whole gap between that and \$115,000 gets crossed by owning, licensing and judgement. Never by getting faster.

And the thing that actually worries me

It is not robots. It is your back. Construction kills about 9.2 workers per 100,000 against 3.3 across all jobs, and trench work is among the worst of it. Moving off the shovel and onto the truck, the estimate and the ownership side by about 30 is the same plan as the robot hedge. They are not two plans. They are one.

The next twelve months

By when	What	Cost	Why
This year	Finish the GED	~\$100	Not because the paper is clever - because a few doors are shut without it, and none of them should be shut to you.
This year	OSHA 10	\$60-80	You need it to be on most commercial jobs.
This year	Trenching competent-person card	\$49-200	A few hours, and it makes you the man they cannot run the job without.
This year	Open a Roth IRA and put something in it	whatever you can	Even \$50 a month. Getting the account open is most of the battle and the compounding starts the day it does.
This year	Secured credit card, fuel only, paid in full monthly	\$0	In six years this is worth thousands to you in bond and loan pricing. Start it now because it needs the time.
Next 12 months	Start the notebook	\$3	Every job: hours, machine time, materials, what went wrong. This is the single habit that separates the men who own companies from the men who work at them.
Next 12 months	Ask for seat time. Then ask again.	\$0	Every week until somebody puts you on a machine.
Within 2 years	CDL Class A	\$5,640	Six weeks at BRCC. The best money you will ever spend on yourself.
Within 2 years	FAA Part 107 drone licence	~\$175	You can sit it now. It turns into billable work almost immediately.

You do not have to decide about any of the later stuff now. You have to finish the GED, get the two cards, open the account, and start the notebook. That is it. Everything else follows from those.

Where these numbers came from

I have not made any of this up, and where nobody actually knows the answer I have said so rather than guessing. All of it was checked in September 2026.

Wages - all of them

US Bureau of Labor Statistics, Occupational Employment and Wage Statistics, May 2025, Baton Rouge metro, published Aug 2026. Construction laborer \$20.48/hr, equipment operator \$28.30/hr, first-line

supervisor \$41.10/hr, construction managers median \$114,990 nationally with 38%

employment. BLS outlook, 2025-2035 projections: equipment operators +4% with ~42,500 annual

openings; construction laborers +6%; construction managers +9%. [bls.gov/ooh](https://www.bls.gov/ooh)

The labour shortage

Associated General Contractors 2026 Workforce Survey: 87% of firms have unfilled craft openings, 88% say it is as hard or harder than last year. ABC estimates the industry needs 349,000 net new workers in

CDE cost and length

Baton Rouge Community College transportation programme: \$5,500 tuition plus fees, six weeks, must be 18. mybrcc.edu

OSHA trenching

29 CFR 1926 Subpart P requires a designated competent person with authority to remove workers from a trench. [osha.gov](https://www.osha.gov)

Drone licence

FAA Part 107: minimum age 16, knowledge exam, \$5 registration for three years. [faa.gov/uas](https://www.faa.gov/uas)

Roth IRA 2026

IRS Notice 2025-67: contribution limit \$7,500. Contributions (not earnings) may be withdrawn at any time tax and penalty free. [irs.gov](https://www.irs.gov)

Tax rates

Federal 2026 brackets and \$16,100 standard deduction (Tax Foundation); FICA 7.65%; Louisiana flat 3% individual income tax with a \$12,500 standard deduction. [revenue.louisiana.gov](https://www.revenue.louisiana.gov)

Emergency fund sizing

JPMorgan Chase Institute analysis of 6 million families: median family needs about 6.2 weeks of take-home to absorb a simultaneous income dip and expense spike. jpmorganchase.com/institute

Equipment and startup costs

Used equipment market pricing 2026 (MachineryList); excavation contractor insurance \$12,000-\$35,000/yr for a small firm (Grit Insurance).

Louisiana contractor licensing

Louisiana Contractors Licensing Law, R.S. 37:2150.1: residential licence at \$50,000+, home improvement registration \$7,500-\$50,000, \$10,000 net worth or a bond in lieu. [lslbc.gov](https://www.lslbc.gov)

Business failure rates

BLS Business Employment Dynamics - construction is consistently among the lowest-surviving industries. Roughly 1 in 5 fail in year one and over half by year five, overwhelmingly from cash flow and estimating

What businesses sell for

BizBuySell valuation benchmarks, closed sales: building and construction 2.65x owner earnings, marine services 2.94x, lawn and landscaping 2.49x - the lowest of the three.

Robots - what is real

Scythe Robotics commercial mowers (supervised autonomy, large open turf only); Bedrock Robotics running empty-cab excavators on large civil sites from Aug 2026; Caterpillar autonomy mature in mining,

robots commercially available for construction. No autonomous compact excavator exists for

residential work. BLS outlook 2026: autonomy works where the environment is controlled and struggles where it is not; robots run 3-10x slower than people. World Economic Forum, June 2026: hand dexterity is the primary

AI in the office say the unstructured-environment problem is unsolved with no timeline.

Jobber 2026 Home Service Trends: over half of home-service owners now use AI, mostly for quoting and invoicing; 59% of leads come from referrals; over 55% of customers expect a reply within an hour.

Safety

BLS Census of Fatal Occupational Injuries: 1,034 construction deaths in 2024, a rate of 9.2 per 100,000 against 3.3 for all industries.

Coastal and watershed money

Louisiana Watershed Initiative has committed \$29.4M to four East Baton Rouge projects. Note that CPRA's coastal restoration funding is being cut and BP settlement money ends in 2031 - do not build a business plan on it.

One last thing. Nothing in here is a promise and none of it is financial advice - it is arithmetic on real published numbers, and every one of them can change. What will not change is that you are eighteen, you already work harder than most people ever will, and you have more time to let all of this compound than anybody reading it over your shoulder. That is the actual advantage. Use it early.